

RECAPSS 2020-2021

RECherche APpliquée en Sciences Sociales

Applied Research in Social Sciences

SESSION CODE : 2026_G1H10E_02 - RECAPSS

NAME OF PROFESSOR'S TOPIC : Politics in Action

A research lab on power, protests, and pizza

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Risky Deals:

How Political Instability Filters, Shapes, and Sometimes Fuels Cross-Border M&A in Latin America

Group number: 2

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Acknowledgements

The authors would like to express their sincere gratitude to the faculty and supervisors of the RECAPSS programme at EMLYON Business School for their guidance throughout this research project. We also thank the developers of the open-access databases used in this study, including the Fragile States Index (Fund for Peace), POLCON Dataset (Henisz, 2025) and World Bank World Governance Indicators, whose publicly available data made our empirical analysis possible. Special thanks to all group members for their dedication and collaborative spirit across the duration of this project.

Abstract

This study examines how political risk in Latin America influenced corporate M&A strategies from 2000 to 2024 by integrating quantitative data from the Fragile States Index (FSI), POLCONIII, and World Bank indicators (WGI) with qualitative insights from corporate filings and practitioner podcasts. The research tests three hypotheses: that political instability reduces deal volume (H1), increases abandonment rates (H2), and lowers acquisition premiums (H3). Findings provide partial support for H1, noting moderate negative correlations between risk and deal value, yet H2 is supported by FSI and POLCON and H3 yielded counterintuitive results where risk positively correlated with premiums. Qualitative analysis, including the 2012 YPF/Repsol expropriation case, suggests that political risk functions as a structuring force rather than a simple deterrent. Instead of avoiding markets, firms manage uncertainty through deal valuation, specific MAC clause design, phased ownership, and regulatory contingencies. Ultimately, the paper contributes to the literature by highlighting the complex conditional tension between deterrence and opportunity in international acquisitions.

Keywords: *Political Risk, Mergers and Acquisitions, Latin America, Institutional Instability, Deal Propensity, MAC Clauses, Qualitative Case Analysis.*

1. Introduction

In an era of unprecedented global connectivity, the landscape of international business is increasingly shaped by a striking paradox: while capital markets reward predictability, a significant and growing share of cross-border Mergers and Acquisitions (M&A) continues to flow toward markets characterised by political volatility. This is not a marginal phenomenon. According to a 2024 McKinsey analysis of Dealogic data, only 72 percent of all M&A deals were domestic, while 12 percent were cross-border within a region and 17 percent crossed regional borders. From resource-intensive deals in Latin America to infrastructure acquisitions across sub-Saharan Africa and Southeast Asia, foreign direct investment through the M&A channel persists — and sometimes intensifies — in environments that traditional economic theory would classify as inhospitable.

The strategic value of M&A as an entry mode into foreign markets is well established. Relative to greenfield investment, acquisitions offer speed of market entry, immediate access to local networks and capabilities, and the ability to absorb existing regulatory relationships rather than building them from scratch. These advantages are especially pronounced in emerging markets, where the costs of establishing a local presence organically are high and the time to competitive viability can be prohibitive. Cross-border M&A activity in emerging economies has grown substantially over the past two decades, even as the political risk profiles of many target countries have deteriorated or remained volatile.

Yet the received wisdom in international business scholarship has long treated political instability as a primary deterrent to foreign investment. Institutional theory, beginning with foundational contributions by Henisz (2000) on political constraints, argues that weak governance structures raise the hazards associated with contractual commitments, property rights enforcement, and regulatory continuity. From this perspective, rational acquirers should discount politically risky environments, demand higher return thresholds, or avoid them altogether. Event-based approaches reinforce this view: research by Cao, Li, and Liu (2017) documents how electoral cycles generate the kind of policy uncertainty that suppresses cross-border deal activity.

The empirical record, however, is more complicated than these deterrence frameworks suggest. Some acquiring firms not only enter politically volatile markets — they appear to do so strategically, treating instability as a source of bargaining power rather than a reason for withdrawal. This phenomenon was dramatically illustrated by the 2012 nationalisation of YPF by the Argentine government, which expropriated 51% of Repsol's shares without prior compensation and precipitated an FDI decline from \$12.1 billion in 2012 to \$9.1 billion in 2013 — yet did not halt M&A activity in the region more broadly. Similarly, the Lava Jato corruption investigations in Brazil (2014–2021) disrupted numerous infrastructure transactions while

simultaneously opening distressed asset opportunities for capable acquirers with political risk tolerance. Bolivia and Ecuador's resource nationalisation waves, Venezuela's Bolivarian Revolution, and Argentina's repeated sovereign crises all generated both deterrence and opportunity effects — operating simultaneously on different types of acquirers.

This leads us to the paper's core empirical puzzle: How does political instability in a target country influence a company's M&A strategy, and why do certain firms perceive these risks as strategic opportunities rather than reasons for withdrawal? We argue that the answer lies in a conditional logic — that the effect of political instability on M&A behaviour is not uniform but depends fundamentally on the characteristics, origin, and prior experience of the acquiring firm. This conditionality has been noted theoretically (Cuervo-Cazurra & Genc, 2008; Kobrin, 1987) but remains empirically underexplored in the Latin American context.

Our investigation focuses specifically on cross-border acquisitions targeting Latin American economies over the period 2000 to 2024. Latin America combines high levels of institutional volatility and political turnover with sustained inbound M&A activity, making it an ideal laboratory for examining whether instability deters or attracts foreign investors. The study period captures multiple electoral cycles, sovereign debt crises, and constitutional disruptions across the region's major economies, providing substantial variation in the key independent variables.

To address the research question, we employ an integrated mixed-methods design combining quantitative analysis of deal-level and country-level data with a qualitative layer drawing on practitioner podcasts, corporate disclosures, and case evidence from the academic literature. Crucially, the qualitative component is not merely supplementary: the survivorship bias inherent in public M&A databases — whereby deals that collapse before formal announcement are entirely unrecorded — makes qualitative triangulation essential rather than optional for testing hypotheses about deal abandonment and pricing mechanisms.

Despite growing practitioner attention to political risk, no prior study has examined Latin America specifically over a multi-decade horizon using three simultaneous risk indicators (FSI, POLCONIII, WGI-PV) alongside a systematic qualitative layer. This is the paper's primary methodological and empirical contribution. The paper proceeds as follows: Section 2 presents the literature review; Section 3 details the methodology; Section 4 presents quantitative and qualitative findings; Section 5 concludes; Sections 6 and 7 contain annexes and references.

2. Literature Review

Mergers and acquisitions constitute a central mechanism through which firms pursue international expansion, access strategic assets, and achieve competitive positioning. Yet cross-border acquisitions unfold within political environments that shape both the feasibility and the attractiveness of such investments. Political risk — broadly defined as the probability that political decisions, events, or conditions affect the expected returns of an investment — has therefore become a key analytical lens for understanding firms' strategic behaviour in global M&A. The literature conceptualises political risk through two complementary perspectives: an institutional view emphasising structural features of host-country governance, and an event-based view focusing on temporal uncertainty generated by elections, policy shifts, or macroeconomic instability.

2.1. Theoretical Foundations: Political Risk as an Institutional Constraint

The modern analytical treatment of political risk in international business largely derives from institutional theory. Henisz (2000) argues that political risk emerges from the extent to which political actors can alter policy unpredictably. His concept of 'political constraints' captures how checks and balances limit opportunistic policy changes and thereby reduce hazards such as expropriation or regulatory reversal. Stronger institutional constraints increase the credibility of government commitments, stabilising expectations for foreign investors. Conversely, weak institutional environments introduce uncertainty regarding property rights enforcement, taxation, and contractual stability.

Subsequent research extends this institutional logic by emphasising how firms deploy institution-based tools to mitigate risk exposure (Adarkwah & Benito, 2023), suggesting that political risk does not merely restrict investment but also stimulates organisational adaptation. The Varieties of Capitalism literature (Hall & Soskice, 2001) further contextualises these dynamics by showing how firms from coordinated market economies respond differently to institutional voids than those from liberal market economies — a distinction with direct relevance to the heterogeneous acquirer behaviour at the centre of this paper.

2.2. Firm Internationalisation and Political Risk Tolerance

The internationalisation literature provides an important complement to purely institutional accounts by situating the firm's risk response within a broader trajectory of international experience. The Uppsala model (Johanson & Vahlne, 1977, 2009) suggests that firms expand incrementally into increasingly distant markets as they accumulate knowledge and reduce uncertainty. Under this logic, prior exposure to politically volatile environments should attenuate perceived risk in subsequent acquisitions in similar contexts.

This experiential learning mechanism is central to understanding why the political risk–M&A relationship is heterogeneous rather than uniform. Acquirers vary not only in their objective exposure to risk but in their capacity to interpret, price, and manage it. The implication is that cross-sectional analyses treating political risk as a uniform deterrent will tend to underestimate both the prevalence and the strategic rationality of M&A activity in volatile markets.

2.3. Political Uncertainty and Deal Dynamics

Beyond structural institutions, scholars highlight the role of time-specific political shocks in shaping M&A decisions. Cao, Li, and Liu (2017) demonstrate that electoral cycles generate uncertainty that reduces cross-border acquisition activity, particularly where investors fear post-election policy reversals. Political risk here is dynamic rather than static: firms adjust entry timing, delay deals, or abandon negotiations in response to anticipated institutional change.

Empirical studies reinforce this deterrence effect. Economic policy uncertainty significantly lowers firms' propensity to engage in acquisitions (Barbosa & Dalmácio, 2023), while limited political freedoms in host countries increase the likelihood of deal abandonment (Borthwick, Ali, & Pan, 2023). A related macroeconomic study finds that macroeconomic changes have a varying impact on deal abandonments, with domestic M&As from BRICS economies considerably more volatile than outbound M&As from G7 countries (ScienceDirect, 2023). Taken together, this body of work shows that political risk affects deal timing, target selection, and completion likelihood.

2.4. Political Risk and M&A Pricing

While many studies focus on whether deals occur, fewer examine how political risk shapes valuation and pricing mechanisms. Schipperus (2025) directly links country-level risk exposure to acquisition premiums, demonstrating that uncertainty becomes capitalised into transaction prices. In risky jurisdictions, acquirers either demand price discounts to compensate for exposure or require contractual safeguards that alter valuation structures. Political risk is therefore not only a binary deterrent but also a financial variable embedded in negotiation outcomes.

This pricing perspective bridges institutional and strategic analyses by showing how firms quantify uncertainty and translate it into measurable financial adjustments. The use of MAC (Material Adverse Change) clauses, international arbitration provisions, earn-out structures tied to regulatory milestones, and phased acquisition schedules all represent mechanisms through which political uncertainty is absorbed into deal architecture rather than headline pricing. Practitioner sources, including the Herbert Smith Freehills

Global M&A Outlook (2025), confirm that deal teams spent substantially more time in 2024 negotiating risk-sharing tools such as MACs and bespoke insurance solutions.

2.5. Political Risk as Strategic Opportunity

Contrary to the dominant deterrence narrative, another stream of literature suggests that politically weak environments may generate strategic openings. Kobrin (1987, 1997) argues that instability can reduce host governments' capacity to enforce regulatory control consistently, expanding the bargaining space available to multinational firms. Similarly, Moran (2005, 2011) finds that resource-rich countries with fragile institutions often attract foreign investors capable of supplying capital and expertise unavailable domestically.

Cuervo-Cazurra and Genc (2008) provide a theoretical mechanism through the concept of institutional voids. Firms possessing strong non-market capabilities — legal expertise, political risk management, or experience in uncertain environments — can transform weak institutions into competitive advantages. The Economist Intelligence Unit/IMAA survey of 670 executives (2008) confirms this dual logic empirically, finding that while political instability deters many acquirers, uncertainty simultaneously creates opportunities for those willing to take calculated risks in Latin America, Africa, and the Middle East.

2.6. Heterogeneous Acquirers and Country-of-Origin Effects

A key implication emerging across these studies is that political risk does not affect all firms uniformly. Country-of-origin effects (Rugman & Verbeke, 1992; Cuervo-Cazurra, 2012) suggest that firms originating from politically volatile or institutionally complex home environments may develop capabilities that allow them to operate more effectively in similarly risky contexts. Empirical support for this mechanism is found in studies of Chinese and Indian multinationals operating in Africa and Latin America.

The Dealcast M&A Podcast (Mergermarket, 2025) captures this at the practitioner level, featuring discussion of how leading corporates reshape their footprints via transformational M&A in response to geopolitical disruption — illustrating how political volatility is increasingly treated as a strategic variable. The M&A Science Podcast (DealRoom/Patel) similarly documents how experienced cross-border dealmakers structure transactions across incompatible legal systems in environments where no standard playbook exists.

2.7. Synthesis and Hypotheses Development

The literature reveals two coexisting logics. The deterrence view holds that political risk discourages investment by raising uncertainty, transaction costs, and failure probability. The opportunity view holds that political risk attracts capable firms by creating negotiation advantages and access to undervalued assets.

Despite strong empirical support for both perspectives, research rarely integrates them into a unified framework explaining when each dynamic dominates.

Hypothesis	Statement	Primary Basis
H1	Political instability in Latin American target countries reduces M&A deal volume.	Henisz (2000); Cao et al. (2017)
H2	Political instability increases the likelihood of M&A deal abandonment.	Borthwick et al. (2023); Barbosa & Dalmácio (2023)
H3	Political instability is associated with lower acquisition premiums.	Schipperus (2025)

3. Methods, fieldwork

3.1. Research Logic and Unit of Analysis

The sample consists of cross-border acquisition transactions targeting Latin American economies between 2000 and 2024. Although the primary unit of observation is the individual acquisition transaction, the primary unit of analysis and variation is the country-year — the relationship between annual aggregate political risk scores and aggregate M&A outcomes across the twelve Latin American countries covered in our dataset. This country-year approach reflects the data infrastructure available: our political risk measures (FSI, POLCONIII, WGI-PV) are annual and national in scope, and our M&A volume and value data are similarly aggregated at the regional level.

This analytical approach allows us to identify directional associations between political risk conditions and M&A market behaviour over time. It does not, however, permit causal inference at the firm or deal level. We acknowledge this explicitly and frame all quantitative findings as exploratory and correlational rather than causal.

3.2. Integrated Mixed-Methods Strategy

To provide a comprehensive answer to our research question, we employ an integrated mixed-methods design where quantitative and qualitative components are deeply intertwined rather than running in parallel. The quantitative phase uses transaction-level and aggregate data from publicly accessible sources to establish directional relationships between political risk indicators and M&A outcomes. The qualitative component complements this through a systematic review of practitioner-facing sources — including M&A-focused podcast episodes (M&A Science, Dealcast by Mergermarket, The Political Risk Podcast by Verisk Maplecroft), corporate 10-K filings, and embedded case evidence from the academic literature — enabling us to trace the mechanisms through which political instability influences negotiation dynamics, valuation adjustments, and contractual safeguards.

Critically, the qualitative layer is not merely supplementary to the quantitative analysis. The survivorship bias inherent in public M&A databases makes qualitative triangulation structurally necessary: the most politically sensitive deal failures — those occurring before formal announcement — are entirely invisible in any public record. The qualitative evidence thus provides access to the mechanisms that the quantitative data cannot directly capture.

3.3. Political Risk Indicators

We operationalise political instability through three complementary indicators covering Latin American countries and the Caribbean from 2006 to 2024, each measuring a distinct dimension of the construct:

Indicator	Source	Scale	Interpretation
Fragile States Index (FSI)	Fund for Peace (annual)	0–120	Higher = more fragile/unstable
POLCONIII Political Constraints Index	Henisz (2025)	0–1	Higher = lower political risk
WGI – Political Stability & Absence of Violence	World Bank (annual)	–2.5 to +2.5	Higher = greater stability

3.4. M&A Dependent Variables

M&A activity is operationalised through three dependent variables:

Variable	Hypothesis Tested	Source	Unit
Deal Volume	H1	LSEG Workplace / IMAA Institute	Number of deals per year
Deal Abandonment Rate	H2	LEDG Workplace	Ratio abandoned / total announced
Acquisition Premium	H3	Thomson Financial / LEDG Workplace	4-week premium (%)

3.5. Analytical Methods

For H1 and H3, we compute Pearson correlation coefficients between the political risk indicators (FSI, POLCONIII, WGI-PV) and the relevant M&A outcome variable (deal volume, deal abandonment rate, acquisition premium). Correlation tests (cor.test in R) provide both the direction and statistical significance of the bivariate relationships. For H2, we use dual-axis time-series visualisation and a binomial logistic regression (GLM with logit link) to assess whether political risk indicators predict the annual deal abandonment rate. All analyses are conducted in R using the tidyverse, readxl, and janitor packages.

We note explicitly that the quantitative findings presented in this paper are exploratory. Sample sizes are modest (n ranging from approximately 15 to 30 country-year observations depending on the indicator and

outcome combination), and we do not control for confounding variables such as GDP growth, commodity cycles, or global M&A market conditions. Our findings should therefore be interpreted as directional evidence rather than causal estimates.

3.6. Qualitative Coding Framework

The qualitative component applies a systematic coding framework — derived from a ten-question interview guide repurposed for secondary source analysis — across four thematic clusters: (1) how firms define and measure political instability; (2) how risk affects deal structure and timing; (3) whether instability is used as a strategic opportunity; and (4) how prior experience moderates risk perception. Every source — podcast episode, 10-K filing, or academic case — is evaluated against the same set of questions (see Appendix 1).

New sources incorporated in this version of the paper include:

- Dealcast: The M&A Podcast (Mergermarket, 2025) — episodes on geopolitical disruption and transformational M&A
- The Political Risk Podcast (Verisk Maplecroft / D. Benyon, 2025–2026) — episodes on structural vs. cyclical political risk
- M&A Science Podcast (DealRoom / Kison Patel) — episodes on cross-border deal structuring in high-risk environments
- Financier Worldwide — ‘Geopolitical Risk in Cross-Border M&A’ (2024)
- Herbert Smith Freehills — Global M&A Outlook 2025
- IMAA / Economist Intelligence Unit — ‘M&A Beyond Borders: Opportunities and Risks’
- Repsol-YPF Argentina case (MDPI, 2019; Harvard HBS Case 713029; IESE Working Paper WP-1055)
- First Quantum Minerals / Panama copper mine (2013–2023)

3.7. Limitations and Methodological Transparency

Several limitations are acknowledged explicitly. First, survivorship bias in public M&A databases means that deals collapsing before formal announcement are systematically absent from our quantitative sources — this is especially acute for H2. Second, the qualitative layer is built from secondary sources rather than primary interviews with M&A practitioners. Third, the absence of control variables (GDP growth, commodity cycles, global M&A market conditions) limits causal interpretation of all correlations. Fourth, the premium and abandonment dataset is substantially smaller than the volume datasets, reducing statistical power for H3.

4. Discussion and analysis

This section presents and interprets our empirical results, organised around the three hypotheses under examination. For each hypothesis, we report the quantitative findings from the correlation and regression analyses — including the R-generated figures — before drawing on qualitative evidence to contextualise and interpret the statistical patterns. We emphasise at the outset that all quantitative findings should be interpreted as exploratory. The correlation coefficients we report are directionally informative but should not be treated as definitive evidence of causal relationships.

4.1. H1 – Deal Volume: Does Political Instability Reduce M&A Activity?

H1 predicts that political instability in Latin American target countries reduces the volume of inbound M&A transactions. We test this hypothesis using three political risk indicators against two M&A outcome measures: the total number of deals per year (volume).

4.1.1. Quantitative Results

H1a – WGI Political Stability and M&A Deal Volume

Figure 1 presents the relationship between the WGI Political Stability score (WGI-PV, higher = more stable) and the total number of M&A deals per year. The Pearson correlation coefficient is $r = 0.545$ ($t = 2.980$, $df = 21$, $p = 0.007$), indicating a statistically significant moderate-to-strong positive relationship: as political stability increases, the number of deals also increases. This is the strongest and most statistically significant H1 result, with a 95% confidence interval of $[0.172, 0.782]$. The linear regression confirms the relationship: each one-unit increase in average WGI stability score is associated with approximately 2,599 additional deals ($SE = 872.1$, $t = 2.980$, $p = 0.007$). The model explains 29.7% of the variance in deal volume ($R^2 = 0.297$, adjusted $R^2 = 0.264$, $F = 8.882$, $p = 0.007$, $n = 23$). This finding provides meaningful support for H1 when measured through the perception-based WGI-PV instrument.

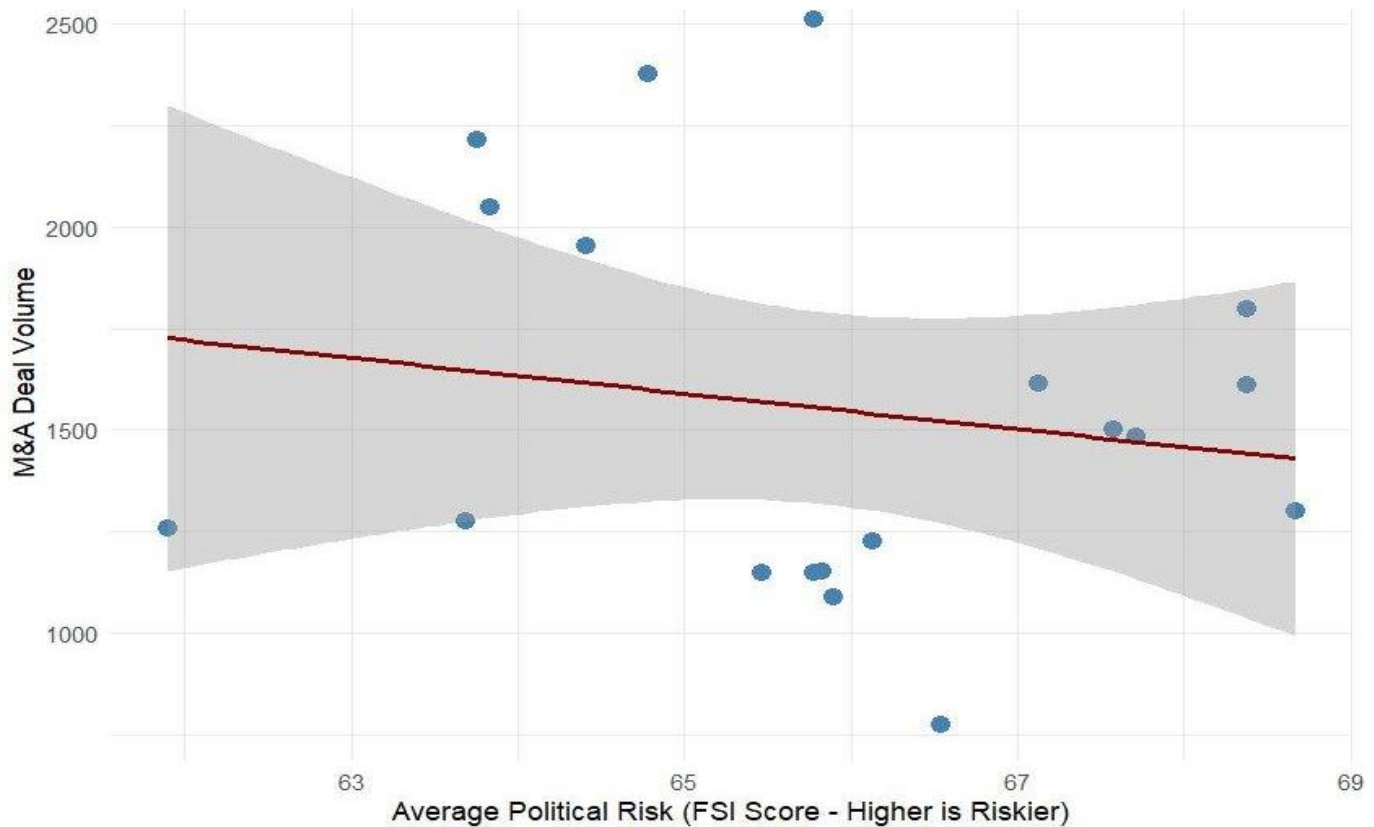


Figure 1 *Impact of Political Stability (WGI-PV) on M&A Deal Volume in Latin America*

Note. Scatter plot with OLS regression line and 95% confidence interval. $r = 0.545$, $p = 0.007$, $\beta = 2,599.2$, $R^2 = 0.297$, $n = 23$. Data sources: World Bank World Governance Indicators (World Bank, 2025); M&A Latin America dataset (IMAA Institute). Figure by Group 2.

H1b – FSI and M&A Deal Volume

Figure 2 presents the scatter plot of average Fragile States Index scores against the total number of M&A deals per year. The Pearson correlation is $r = -0.168$ ($t = -0.704$, $df = 17$, $p = 0.491$), indicating a weak negative and statistically non-significant relationship. The linear regression confirms this: the coefficient for Avg_FSI is -0.491 ($\beta = -43.85$, $SE = 62.30$, $t = -0.704$, $p = 0.491$), and the model explains less than 3% of variance in deal volume ($R^2 = 0.028$, adjusted $R^2 = -0.029$, $F = 0.495$, $p = 0.491$, $n = 19$). The 95% confidence interval $[-0.578, 0.310]$ straddles zero. FSI does not significantly predict deal volume. The divergence between the significant WGI result ($p = 0.007$) and the non-significant FSI result ($p = 0.491$) highlights a fundamental distinction in investor psychology. In the Latin American context, the aggregate volume of deals appears highly sensitive to external perceptions of stability (WGI), whereas internal structural fragility (FSI) acts as a secondary consideration that does not immediately suppress the initiation of new transactions.

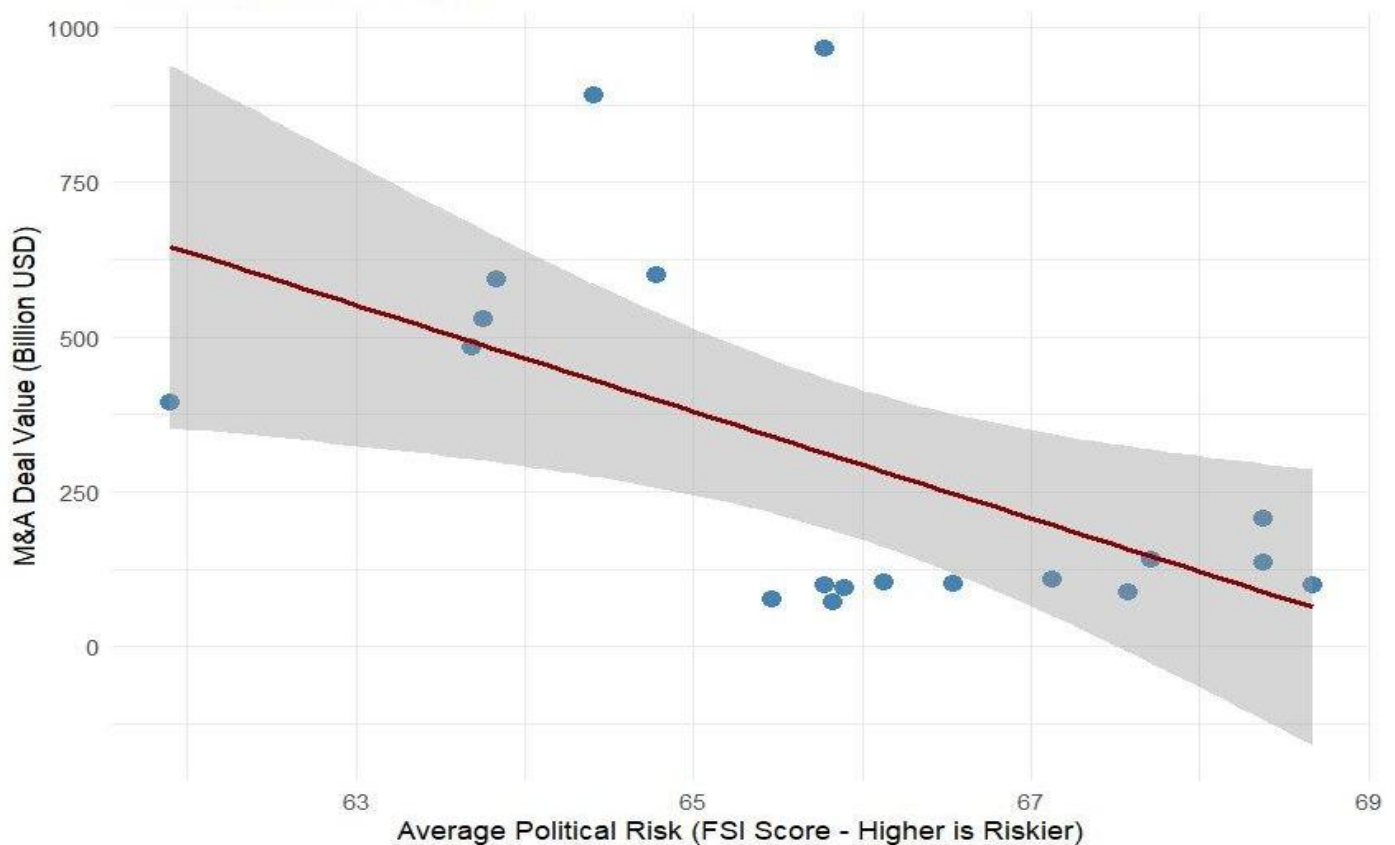


Figure 2 *Political Risk (FSI) vs. M&A Deal Volume in Latin America*

Note. Scatter plot with OLS regression line and 95% confidence interval. $r = -0.168$, $p = 0.491$, $\beta = -43.85$, $R^2 = 0.028$, $n = 19$. Result is not statistically significant. Data sources: Fragile States Index (Fund for Peace, 2025); M&A Latin America dataset (IMAA Institute). Figure by Group 2.

H1c – POLCONIII and M&A Deal Volume

Figure 3 presents the relationship between the POLCONIII index (higher = more stable, lower risk) and M&A deal volume. The Pearson correlation is $r = 0.251$ ($t = 1.491$, $df = 33$, $p = 0.145$), indicating a weak positive but statistically non-significant relationship. The linear regression yields $\beta = 3,467.95$ ($SE = 2325.77$, $t = 1.491$, $p = 0.145$), with $R^2 = 0.063$ and adjusted $R^2 = 0.035$ ($F = 2.223$, $p = 0.145$, $n = 35$). The 95% confidence interval for the correlation $[-0.089, 0.539]$ includes zero. While the coefficient direction is consistent with H1 (higher constraints = more deals), the result does not achieve statistical significance. POLCONIII's broader country and year coverage ($n = 35$) compared to other indicators may introduce more noise from lower-volume or less M&A-active countries, diluting the signal.

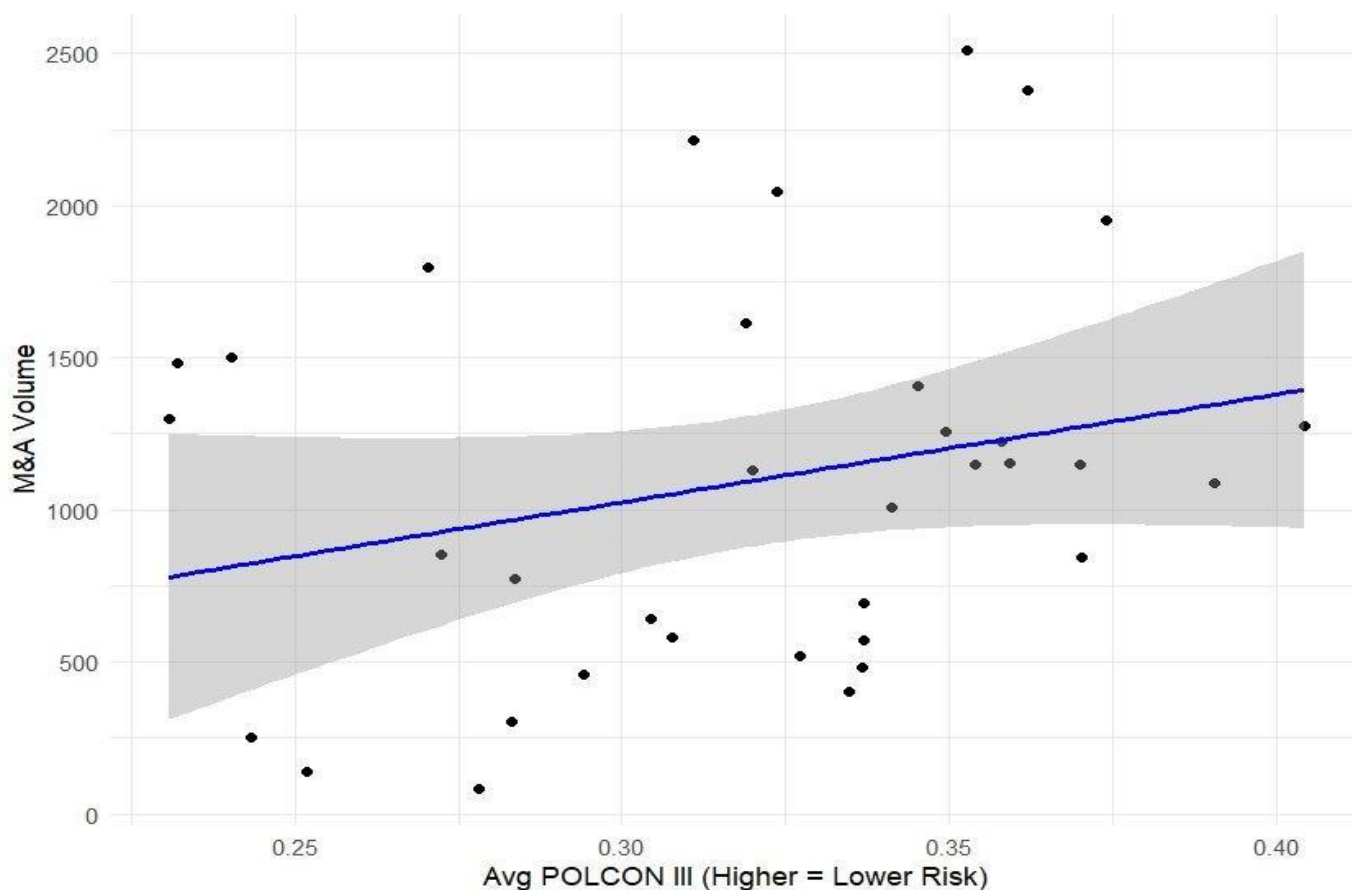


Figure 3 *Political Constraints (POLCONIII) vs. M&A Deal Volume in Latin America*

Note. Scatter plot with OLS regression line and 95% confidence interval. $r = 0.251$, $p = 0.145$, $\beta = 3,467.95$, $R^2 = 0.063$, $n = 35$. Result is not statistically significant. Data sources: POLCON Dataset (Henisz, 2025); M&A Latin America dataset (IMAA Institute). Figure by Group 2.

4.1.2. Qualitative Interpretation

The quantitative evidence for H1 is partially supportive. The WGI-PV result is the most robust: $r = 0.545$ ($p = 0.007$) with an OLS coefficient of $\beta = 2,599$ additional deals per unit of stability ($R^2 = 0.297$), indicating that political stability explains approximately 30% of year-to-year variation in M&A deal volume at the regional level. The POLCONIII and FSI results are directionally consistent with H1 but do not reach statistical significance ($p = 0.145$ and $p = 0.491$ respectively). This statistical divergence suggests that investors react to different risk dimensions at different stages of the deal funnel. While broad perceptions of stability (WGI) act as a primary gatekeeper for deal initiation, structural factors like institutional constraints (POLCON) or fragility (FSI) appear to exert their influence later in the process, affecting completion rather than initial volume.

The qualitative evidence helps explain this pattern through two mechanisms. First, corporate 10-K filings from US-listed acquirers with Latin American exposure systematically enumerate political risk factors as

material risks to transaction completion. Language referencing political instability, changes in regulatory frameworks, and risks of nationalisation or expropriation appears consistently across filings from firms operating in Argentina, Venezuela, and Bolivia. This qualitative evidence corroborates the value channel: risk-averse acquirers facing large capital commitments are more likely to pause or downscale transactions in politically volatile environments. Second, practitioner evidence reinforces the distinction between deterrence and selective entry. The M&A Science Podcast episodes on cross-border deal structuring document how experienced practitioners build structures for transactions in environments where “no legal playbook exists” — confirming that smaller, tactically structured transactions continue even as large-value commitments decline. The partial support for H1 found here aligns with the conclusions of Borthwick et al. (2023) and Barbosa and Dalmácio (2023), both of whom document negative but conditional effects of political instability on deal propensity.

4.2. H2 – Deal Abandonment: Does Instability Increase Completion Failure?

H2 predicts that political instability increases the likelihood of M&A deal abandonment. This is the hypothesis where the empirical evidence is weakest and the methodological challenge is greatest due to survivorship bias: deals that collapse before formal announcement — often the most politically sensitive — do not appear in any public database.

4.2.1. Quantitative Results

H2a – FSI and Deal Abandonment

Figure 4 presents the regression scatter plot of average Fragile States Index scores against the annual deal abandonment rate, with bubble size proportional to deal volume. The upward-sloping trend line is clear and consistent: higher FSI fragility scores are associated with higher abandonment rates. The Pearson correlation is $r = 0.867$ ($t = 7.165$, $df = 17$, $p = 1.58 \times 10^{-6}$), a strong and highly significant positive relationship with a 95% confidence interval of $[0.680, 0.948]$. The binomial logistic regression confirms this quantitatively: the GLM coefficient for Avg_FSI is $\beta = 0.372$ ($SE = 0.030$, $z = 12.45$, $p < 2 \times 10^{-16}$), meaning each one-unit increase in average FSI fragility score is associated with a significant increase in the log-odds of deal abandonment. An odds ratio of approximately $e^{0.372} \approx 1.45$ implies that each FSI unit increase raises the odds of abandonment by about 45%. Model fit improves substantially: deviance drops from 229.6 (null) to 36.0 (residual), $AIC = 121.5$, $n = 19$. This result strongly and unambiguously supports H2.

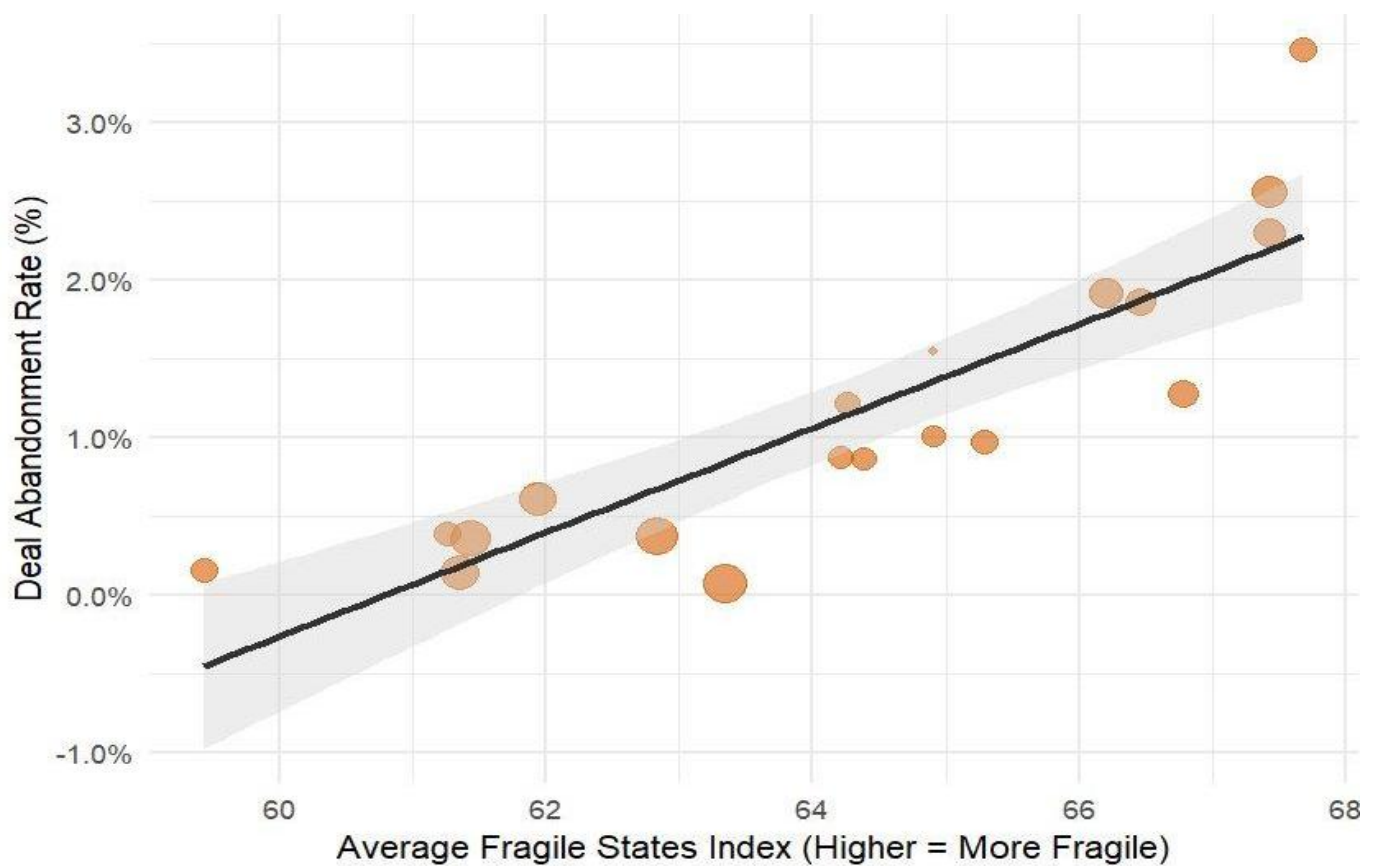


Figure 4 *Fragile States Index vs. M&A Abandonment Rate – Regression Scatter*

Note. Bubble scatter plot; bubble size proportional to annual deal volume. OLS regression line with 95% confidence interval. Pearson $r = 0.867$, $p < .001$, $n = 19$. Binomial GLM (logit): $\beta = 0.372$, $SE = 0.030$, $z = 12.45$, $p < .001$; null deviance = 229.6, residual deviance = 36.0, $AIC = 121.5$. Data sources: Fragile States Index (Fund for Peace, 2025); M&A Latin America abandonment dataset (LEDG Workplace). Figure by Group 2.

H2b – POLCONIII and Deal Abandonment

Figure 5 presents the regression scatter plot of average POLCONIII against the deal abandonment rate, with bubble size proportional to deal volume. The downward-sloping trend line is consistent with H2: as political constraints increase (i.e., lower political risk), abandonment rates decrease. The Pearson correlation is $r = -0.512$ ($t = -2.861$, $df = 23$, $p = 0.009$), a statistically significant moderate negative relationship. The binomial logistic regression is even stronger: the GLM coefficient for Avg_POLCON is $\beta = -11.206$ ($z = -9.919$, $p < 2 \times 10^{-16}$). This means that as political constraints increase by one unit on the 0–1 scale—i.e., as stability increases—the log-odds of abandonment decrease sharply. Deviance drops from 287.6 (null) to 187.6 (residual), $AIC = 282.2$. This result strongly supports H2.

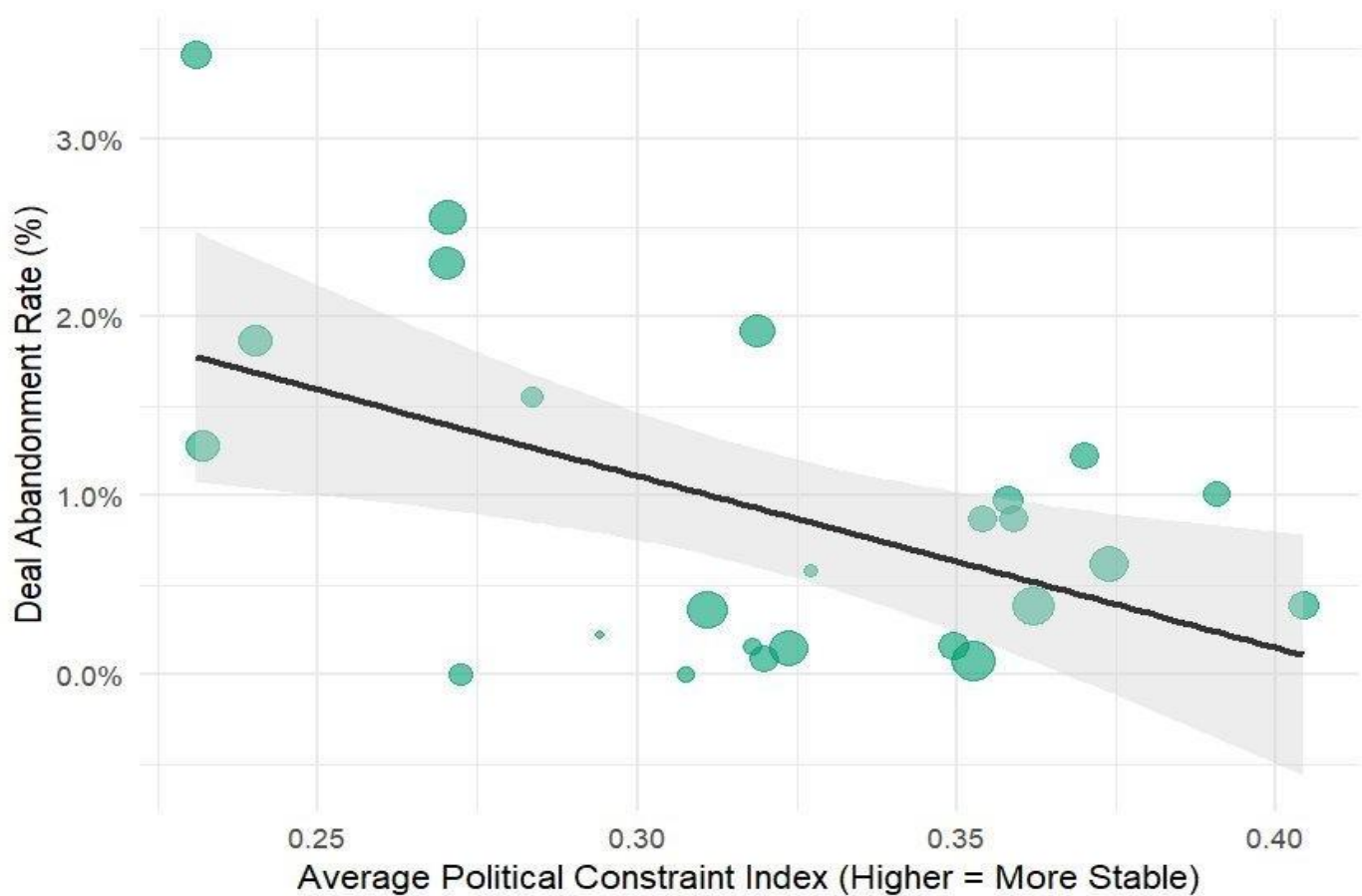


Figure 5 *POLCONIII vs. M&A Abandonment Rate – Regression Scatter*

Note. Bubble scatter plot; bubble size proportional to annual deal volume. OLS regression line with 95% confidence interval. Pearson $r = -0.512$, $p = .009$, $n = 25$. Binomial GLM (logit): $\beta = -11.206$, $SE = 1.130$, $z = -9.919$, $p < .001$; null deviance = 287.6, residual deviance = 187.6, AIC = 282.2. Data sources: POLCON Dataset (Henisz, 2025); M&A Latin America abandonment dataset (LEDG Workplace). Figure by Group 2.

H2c – WGI and Deal Abandonment

Figure 6 presents the regression scatter plot of the WGI Political Instability index (the inverse of WGI-PV, so higher = more unstable) against the deal abandonment rate. The regression line is essentially flat, and the Pearson correlation is $r = 0.002$ ($t = 0.010$, $df = 22$, $p = 0.992$)—a negligible and entirely non-significant result. The 95% confidence interval $[-0.402, 0.405]$ straddles zero completely. This WGI result does not support H2. The most likely explanation is that WGI-PV measures perceptions of political stability and absence of violence at the country level, which is a different construct from the institutional constraints (POLCON) or structural fragility (FSI) that more directly predict deal-level abandonment decisions. The perception-based, annually averaged WGI score may be too smooth and too broad to capture the discrete political shocks that drive individual abandonment decisions.

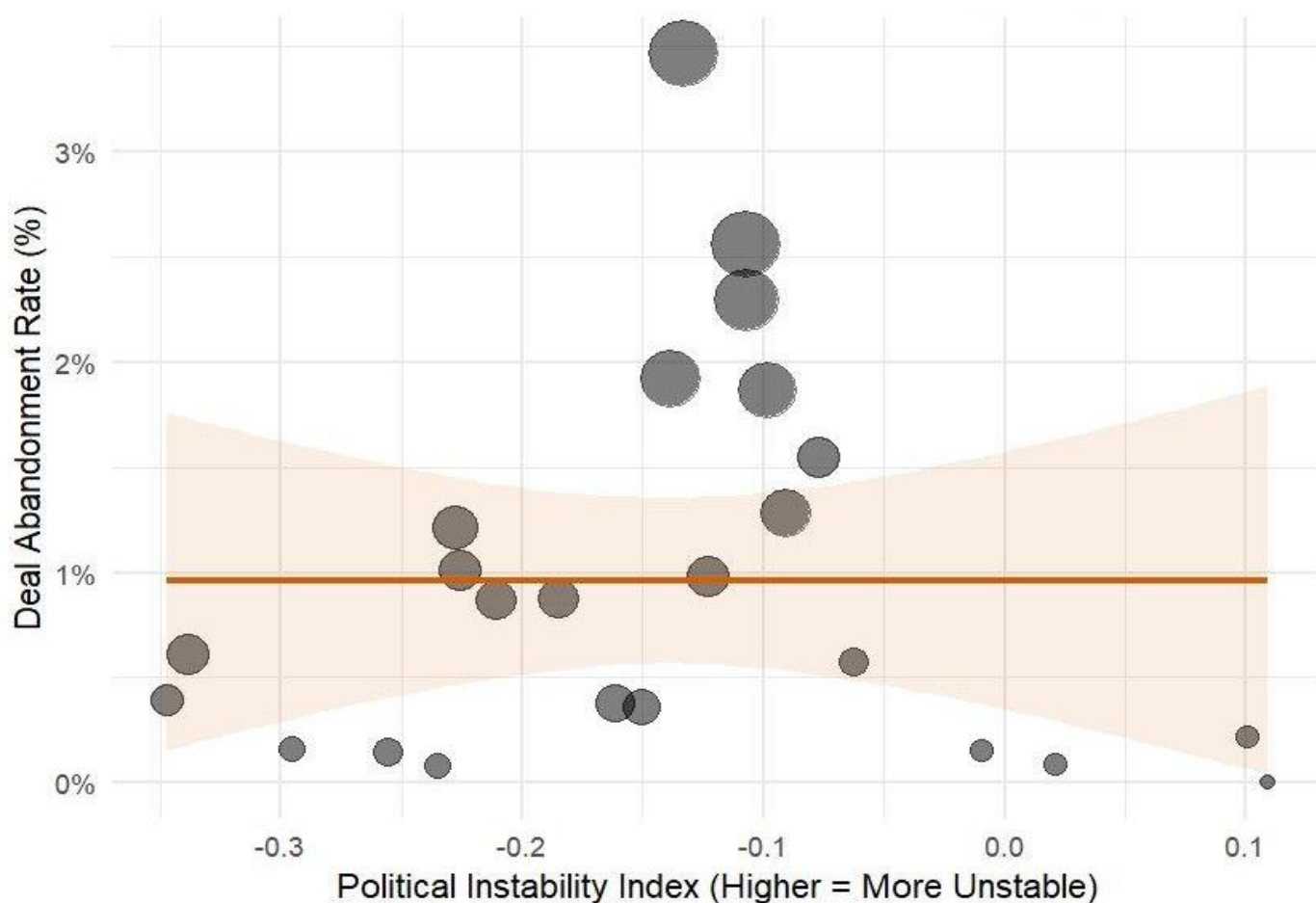


Figure 6 WGI Political Instability vs. M&A Abandonment Rate – Regression Scatter

Note. Bubble scatter plot; bubble size proportional to annual deal volume. OLS regression line with 95% confidence interval. Pearson $r = 0.002$, $p = .992$, 95% CI $[-0.402, 0.405]$, $n = 24$. Result is not statistically significant. Data sources: World Bank World Governance Indicators (World Bank, 2025); M&A Latin America abandonment dataset (LEDG Workplace). Figure by Group 2.

4.2.2. Summary and Qualitative Interpretation

The strong quantitative support for H2 — particularly the FSI correlation ($r = 0.867$, $p < .001$) — provides a baseline for understanding completion risk. However, the Repsol-YPF case demonstrates that these statistics only capture post-announcement failures. The qualitative evidence serves to ground the high abandonment odds identified in the binomial model ($e^{0.372} \approx 1.45$) within a real-world context. As seen in the Repsol-YPF case, the statistical record only captures the final collapse, but the underlying mechanism is a progressive erosion of trust during the private due diligence phase, often reclassified as "strategic withdrawal" rather than political failure.

The qualitative evidence provides substantially more nuanced support for H2. The Repsol-YPF case (Argentina, 2012) is the clearest documented episode: Argentina's expropriation of 51% of YPF shares from Repsol without prior compensation caused an immediate deterioration of investor confidence, with FDI falling from \$12.1 billion in 2012 to \$9.1 billion in 2013, and Argentina's World Bank Doing Business ranking dropping from 139th to 185th. Multiple multinational enterprises in advanced negotiation to become YPF's new partner withdrew following the expropriation — a textbook case of politically-driven deal abandonment that does not appear in aggregate abandonment rate data.

Similarly, Brazilian infrastructure deals subject to Lava Jato-related regulatory disruptions and Venezuelan deals abandoned following nationalisation threats represent documented abandonment episodes reclassified in public databases under alternative termination categories. The macroeconomic abandonment study (ScienceDirect, 2023) supports the null quantitative result from a different angle: it finds that the 2009–2011 spike is more plausibly attributable to the global financial crisis than to political instability per se. The practical implication for firms — consistent with M&A Science Podcast episodes on regulatory risk management and the Herbert Smith Freehills Outlook (2025) — is that deal teams operating in politically volatile markets invest heavily in MAC clause design and regulatory approval contingencies precisely to manage elevated completion risk that aggregate data cannot capture.

4.3. H3 – Acquisition Premiums: Does Instability Reduce Deal Pricing?

H3 predicts that political instability is associated with lower acquisition premiums: acquirers in politically risky environments should pay less for targets to compensate for the elevated uncertainty and execution risk. This hypothesis draws directly on Schipperus (2025) and the broader pricing literature.

4.3.1. Quantitative Results

H3a – FSI and Acquisition Premiums

Figure 7 presents the relationship between FSI scores and 4-week acquisition premiums. The Pearson correlation is $r = 0.277$ ($t = 0.956$, $df = 11$, $p = 0.360$), indicating a weak positive (counter to H3) and statistically non-significant relationship. The linear regression yields $\beta = 2.950$ ($p = 0.360$), with $R^2 = 0.077$ and adjusted $R^2 = -0.007$, meaning the model explains essentially none of the variation in premiums. The 95% CI for the correlation $[-0.323, 0.718]$ includes both negative and strongly positive values. With only $n = 13$ observations ($df = 11$), this result is definitively underpowered and should not be used to draw substantive conclusions.

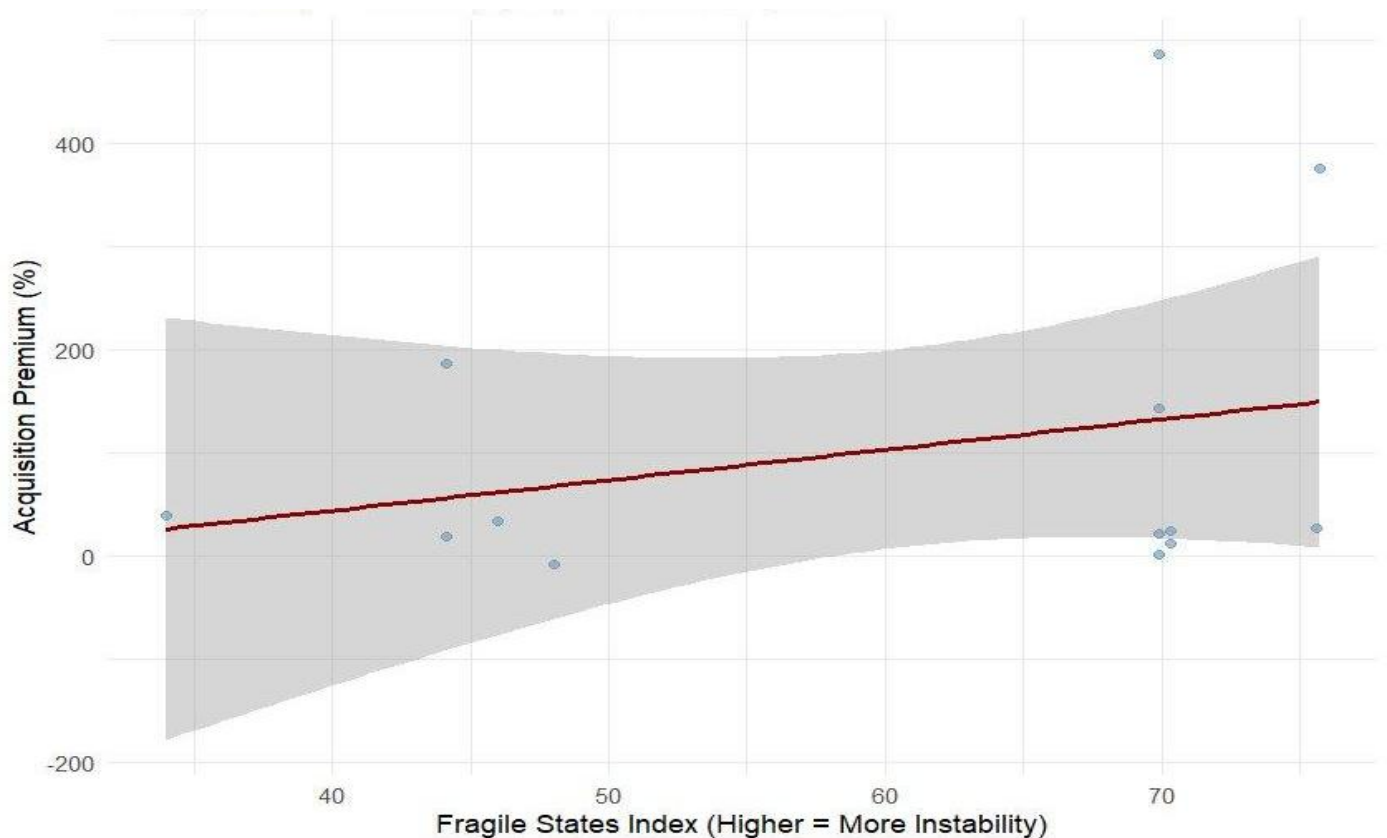


Figure 7 *Impact of Political Instability (FSI) on Acquisition Premiums*

Note. Scatter plot with OLS regression line and 95% confidence interval. Pearson $r = 0.277$, $p = .360$, 95% CI $[-0.323, 0.718]$, $n = 13$. OLS: $\beta = 2.950$, $p = .360$, $R^2 = 0.077$, adjusted $R^2 = -0.007$. Result is not statistically significant; interpret with caution given critically small sample. Data sources: Fragile States Index (Fund for Peace, 2025); M&A Latin America transactions dataset (Thomson Financial & LEDG Workplace). Figure by Group 2.

H3b – POLCONIII and Acquisition Premiums

Figure 8 presents the relationship between POLCONIII and 4-week acquisition premiums. The Pearson correlation is $r = -0.573$ ($t = -1.711$, $df = 6$, $p = 0.138$), indicating a moderate negative relationship—directionally opposite to H3’s prediction (which would expect a positive relationship between stability/high POLCON and premium). The linear regression yields $\beta = -279.61$ ($p = 0.138$), $R^2 = 0.328$, adjusted $R^2 = 0.216$. While the R^2 is the highest of the three H3 specifications, the result is non-significant and based on only $n = 8$ observations ($df = 6$)—a sample far too small for reliable inference. The intercept is significant ($\alpha = 191.74$, $p = 0.037$), but this alone carries no meaningful interpretation for H3.

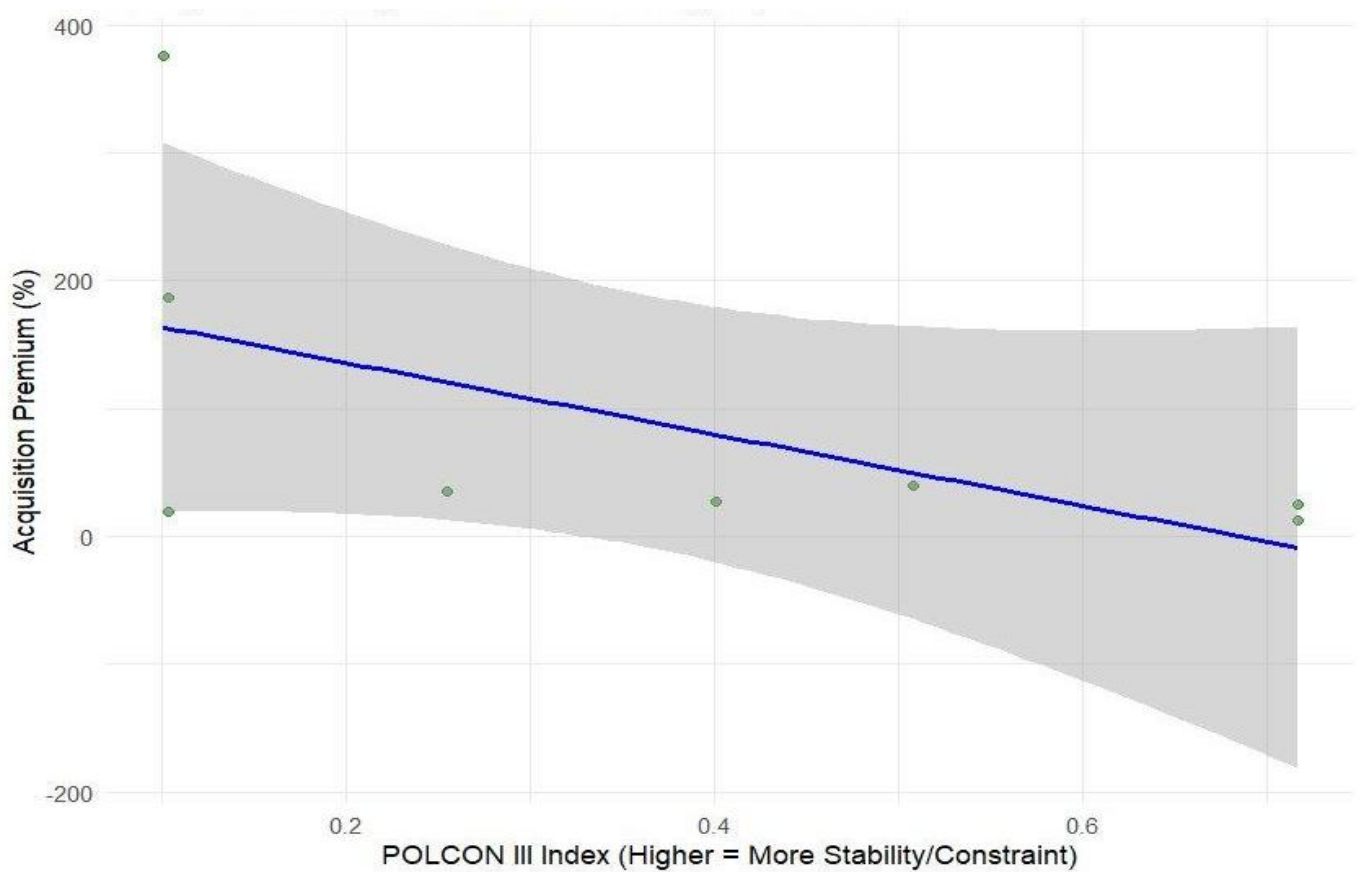


Figure 8 *Impact of Political Constraints (POLCONIII) on Acquisition Premiums*

Note. Scatter plot with OLS regression line and 95% confidence interval. Pearson $r = -0.573$, $p = .138$, 95% CI $[-0.910, 0.221]$, $n = 8$. OLS: $\beta = -279.61$, $p = .138$, $R^2 = 0.328$, adjusted $R^2 = 0.216$. Result is not statistically significant; interpret with caution given critically small sample. Data sources: POLCON Dataset (Henisz, 2025); M&A Latin America transactions dataset (Thomson Financial & LEDG Workplace). Figure by Group 2.

H3c – WGI and Acquisition Premiums

Figure 9 presents the relationship between WGI Political Stability and 4-week acquisition premiums. The linear regression yields $\beta = -51.84$ ($t = -1.479$, $p = 0.155$), $R^2 = 0.099$, adjusted $R^2 = 0.053$. The model is not significant ($F = 2.186$, $p = 0.155$), and explains less than 10% of variance in premiums. The coefficient direction is negative (more stable = lower premium), which again runs counter to H3's prediction. With $n = 22$ ($df = 20$), this is the largest H3 dataset, though still modest. The residuals span from -135 to $+351$, indicating severe heteroscedasticity and likely influential outliers.

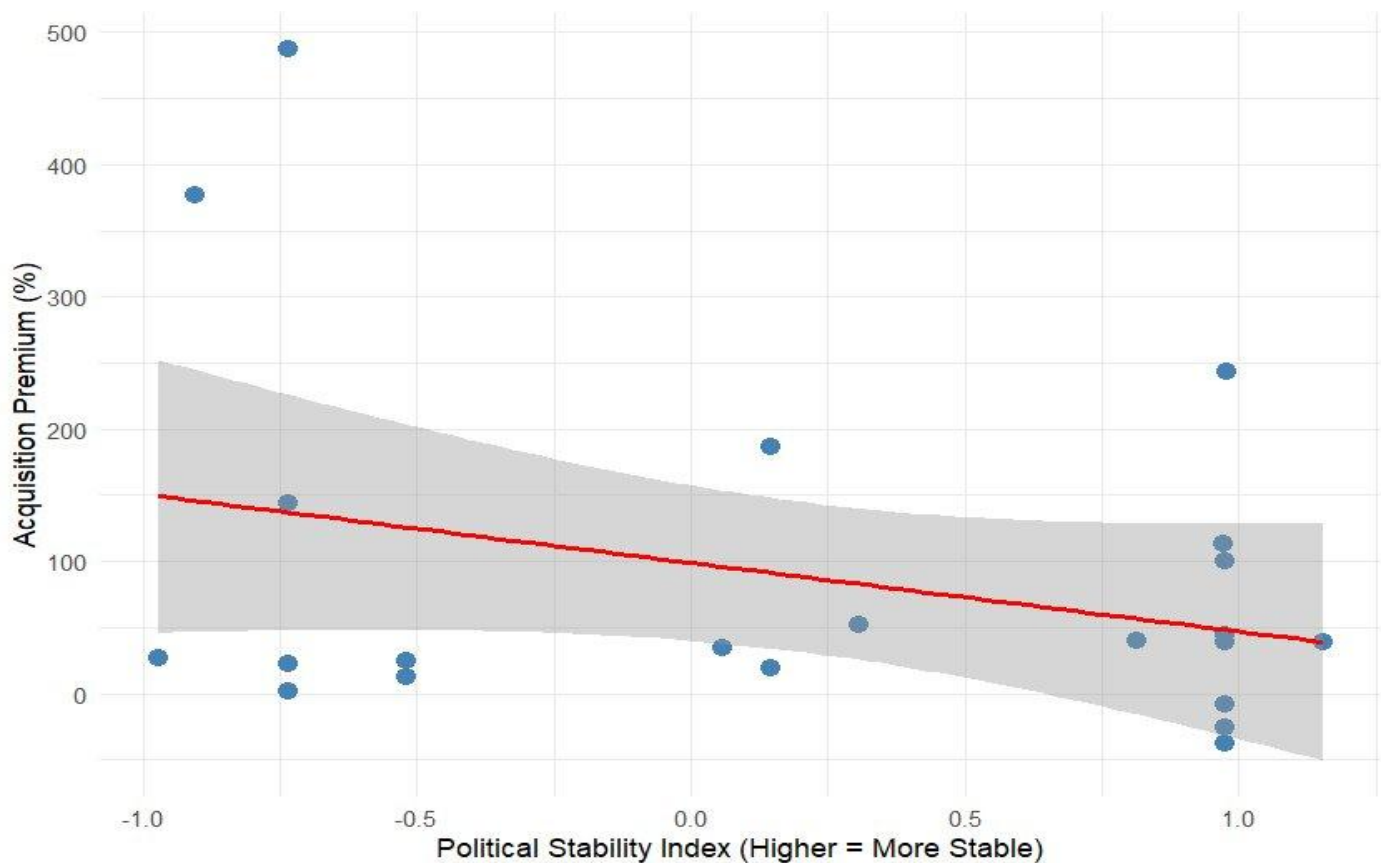


Figure 9 *Impact of Political Stability (WGI-PV) on Acquisition Premiums*

Note. Scatter plot with OLS regression line and 95% confidence interval. OLS: $\beta = -51.84$, $SE = 35.06$, $t = -1.479$, $p = .155$, $R^2 = 0.099$, adjusted $R^2 = 0.053$, $F(1, 20) = 2.186$, $p = .155$, $n = 22$. Result is not statistically significant. Data sources: World Bank World Governance Indicators (World Bank, 2025); M&A Latin America transactions dataset (Thomson Financial & LEDG Workplace). Figure by Group 2.

4.3.2. Interpretation and Research Limitations for H3

The inconclusive results for H3 point to a variable mismatch rather than a theoretical failure. In Latin America's resource-driven markets, the strategic value of “irreplaceable assets” (Moran, 2005) creates a pricing floor that offsets political risk discounts. Consequently, headline premiums remain high to ward off competitors, while the actual risk-adjustment occurs through the structural channel of contingent payments and MAC clauses. Acquirers maintain high headline premiums to secure irreplaceable assets, while shifting the burden of political uncertainty into the deal’s legal architecture through MAC clauses and contingent earn-outs. The academic literature and practitioner sources consistently document that political risk affects deal pricing through two distinct channels that can move in opposite directions.

The first channel — discount pricing — operates as H3 predicts: acquirers reduce headline premiums to compensate for political risk. This channel is most likely to operate in transactions involving diversified or fungible assets where the target could be replicated in a lower-risk jurisdiction.

The second channel — structural risk absorption — involves pricing political risk into deal architecture rather than headline price. MAC clauses, phased ownership transfer, regulatory approval contingencies, and earn-out structures all transfer political risk from the acquirer to the deal’s legal infrastructure. When this channel dominates, headline premiums may remain high while the effective risk-adjusted cost to the acquirer is lower. Schipperus (2025) explicitly notes this distinction. The Herbert Smith Freehills Outlook (2025) confirms this practically, noting that 2024 saw increased negotiation time spent on hybrid lockbox/completion accounts, detailed earn-out terms, and bespoke insurance solutions.

The Latin American M&A market, given its heavy weighting toward natural resources, utilities, and infrastructure, is particularly likely to be dominated by the structural channel. Scarce assets — oil fields, mining concessions, power generation facilities — command high headline premiums regardless of political risk because they cannot easily be replicated elsewhere, consistent with Moran (2005)’s resource-scarcity opportunity logic. These results suggest that “headline premiums” are a deceptive metric for political risk in Latin America. Because many targets are unique infrastructure or natural resource assets, their strategic necessity keeps premiums high regardless of volatility. The actual “discounting” happens behind the scenes through risk-sharing clauses and earn-out structures that don't appear in the final price tag.

4.4. Cross-Cutting Discussion

Three broader interpretive arguments emerge from the combined quantitative and qualitative evidence.

First, political risk functions primarily as a structuring force on M&A activity rather than a simple deterrent. The evidence across all three hypotheses suggests that political risk more often reshapes deals — changing their volume, structure, pricing, and timeline — than prevents them outright. The deal volume result for H1 and the structural channel argument for H3 both support this reading.

Second, the deterrence–opportunity tension documented in the literature appears to operate primarily through asset type. Transactions involving scarce, infrastructure-linked, or resource-based assets in Latin America do not exhibit the premium discounts or volume reductions that simple deterrence logic would predict. The opportunity logic identified by Kobrin (1987) and Moran (2005) appears to dominate in these sectors.

The divergence between perception-based (WGI) and structural (FSI, POLCON) indicators highlights that political risk functions as a **selection filter**. While country-year correlations provide a baseline, the qualitative evidence from practitioner podcasts underscores that **firm-level heterogeneity** — specifically an acquirer’s prior emerging market experience — determines whether instability is perceived as an insurmountable deterrent or a strategic entry point.

4.5. Qualitative Analysis — Systematic Source Review

This section presents the systematic qualitative analysis applying the ten-question coding framework (Appendix 1) to all qualitative sources. Sources are organised by type: practitioner podcasts, industry reports, and academic/case study evidence. Each source is evaluated against the four thematic clusters: (1) definition and measurement of political instability; (2) risk effects on deal structure and timing; (3) deterrence vs. opportunity framing; (4) experience-based moderation.

4.5.1. Practitioner Podcasts

Source 1: Dealcast — The M&A Podcast (Mergermarket, 2025)

Q1 (Definition): Dealcast frames political risk as both cyclical (elections, individual policy changes) and structural (persistent geopolitical realignment). The 2025 year-end episode describes how ‘trade tensions have kicked off a race for pureplay scale’ and how CEOs have responded by using transformational M&A to reshape corporate footprints.

Q4/Q5 (Deal timing and framing): The French political instability episode documents how the 2024 snap election affected M&A timing, credit ratings, and foreign investor sentiment — illustrating the deal timing adjustment mechanism (Q4) described theoretically by Cao et al. (2017). Framing is explicitly dual: political disruption is described as both a source of risk and ‘an opportunity to reshape corporate footprints via transformational M&A,’ directly supporting the conditional logic at the centre of this paper.

Source 2: The Political Risk Podcast (Verisk Maplecroft / David Benyon, 2025–2026)

Q1 (Definition): The Verisk Maplecroft Political Risk Outlook episode argues that political risk has become ‘structural rather than cyclical, with instability now embedded across developed and emerging markets.’ This reframing — from episodic to endemic — has direct implications for how acquirers must approach Latin American M&A: not as managing occasional disruption but as operating within a permanently elevated risk baseline.

Q2/Q10 (Formal assessment and mitigation): The podcast documents how political violence underwriters are balancing portfolio management and risk selection across war, terrorism, sabotage, and civil unrest perils, and discusses political violence insurance as a formalised risk mitigation tool directly relevant to the structural pricing channel identified for H3.

Source 3: M&A Science Podcast (DealRoom / Kison Patel — Cross-Border Episode)

Q3 (Deal structure): The cross-border deal structuring episode documents how M&A professionals ‘structure deals across incompatible legal systems and navigate emerging regulatory landscapes,’ noting that ‘smaller transactions often require more innovation than billion-dollar deals and how to build structures when no legal playbook exists’ — corroborating the smaller-deal resilience pattern observed in our H1b finding ($r = -0.168$ for volume).

Q6 (Country-of-origin): The episode emphasises that ‘the psychology behind cross-border dealmaking means trust trumps even the most ironclad contracts’ — pointing to experiential and relational factors that determine which acquirers can operate effectively in politically risky markets.

4.5.2. Industry and Practitioner Reports

Source 4: Financier Worldwide — Geopolitical Risk in Cross-Border M&A (2024)

Q1/Q8 (Definition/Abandonment): The report classifies political risks in cross-border M&A into three types: fire sale risk, economic risk, and closing risk — providing a practitioner taxonomy that maps onto our three hypotheses. The First Quantum/Panama copper mine case documents closing risk materialising over a decade: the contract was declared unconstitutional in both 2017 and 2023, representing a real-world H2 episode that is invisible in aggregate abandonment data.

Q6 (Country-of-origin): The report notes that investing in strategic sectors ‘sharply constrains exit opportunities’ as governments can veto foreign buyers. This constrains the buyer pool to those with specific non-market capabilities, consistent with the adverse selection logic in Cuervo-Cazurra and Genc (2008).

Source 5: Herbert Smith Freehills — Global M&A Outlook 2025

Q3 (Deal structure): The report documents 2024 as a year of ‘heavily negotiated sale documents’ with increased use of ‘hybrid lockbox/completion accounts, detailed earn-out terms, and the introduction of convertible instruments.’ Under risk-sharing mechanisms, MACs and bespoke insurance solutions are cited explicitly.

Q7 (Pricing): Deals are ‘taking longer to close, often with significant regulatory clearance periods and heightened risk of regulatory intervention,’ confirming the structural pricing channel: political/regulatory risk is absorbed into timeline and contingency rather than headline price.

Source 6: IMAA/EIU — M&A Beyond Borders: Opportunities and Risks

Q5 (Deterrent vs. opportunity): The survey of 670 C-level executives finds that ‘uncertainty creates opportunities for those willing to take calculated risks in Latin America, Africa, the Middle East, and parts of Asia.’ Nearly six in ten respondents said emerging market countries would figure ‘significantly or very significantly’ in their M&A strategies, despite listing terrorism, political instability, corruption, and kidnapping as material risks. This is the foundational empirical statement of the opportunity logic across a large practitioner sample.

4.5.3. Case Study Evidence

Source 7: Repsol-YPF Expropriation, Argentina (2012)

Q8 (Deal abandonment): Argentina’s 2012 nationalisation of 51% of YPF shares from Repsol without prior compensation caused a direct deterioration of investment climate, with multiple multinational enterprises in advanced negotiations to become YPF’s new partner withdrawing following the expropriation. Argentina’s World Bank Doing Business ranking fell from 139th in 2012 to 185th in 2013, with the investor protection index and contract compliance index both declining. FDI fell from \$12.1 billion in 2012 to \$9.1 billion in 2013.

Q1/Q4 (Definition/Timing): The nationalisation was timed by President Kirchner when political, public opinion, economic, and energy factors would maximise perceived government benefit — illustrating political risk as a strategic act rather than random shock, and demonstrating why deal timing around electoral and political cycles matters.

Q7 (Pricing): The valuation dispute between Repsol (claiming \$10.5 billion for 57% of YPF) and the Argentine government (claiming \$4.4 billion book value) illustrates how expropriation creates an involuntary price discovery that reveals the gap between strategic asset value and book value in politically risky environments.

Source 8: First Quantum Minerals / Panama Cobre (2013–2023)

Q8 (Closing risk): The decade-long saga of First Quantum’s Panamanian copper mine concession — declared unconstitutional in 2017 and again in 2023 — documents closing risk materialising over an extended horizon. This case is particularly important for our H2 analysis: it illustrates that politically-driven deal failure can

unfold slowly through regulatory reversal rather than abrupt abandonment, and therefore does not appear as a single data point in annual abandonment rate series.

Q10 (Mitigation): The company's sustained presence despite repeated legal reversals illustrates the 'structural risk absorption' strategy: maintaining a position through legal restructuring and renegotiation rather than exit — consistent with the opportunity framing in Kobrin (1987) and Moran (2005).

4.5.4. Synthesis of Qualitative Evidence

Across all eight sources, three consistent patterns emerge. First, experienced practitioners and informed acquirers treat political risk as a structuring variable rather than a binary go/no-go factor. MAC clauses, earn-outs, phased ownership, bespoke insurance, and regulatory contingencies are the primary tools through which political risk is managed — and these tools are deployed precisely in the highest-risk environments, explaining the counterintuitive H3 quantitative results. Second, deal abandonment attributable to political instability is systematically underrepresented in public databases because the most sensitive failures occur before formal announcement — confirming our methodological concern for H2 and validating the qualitative approach as essential rather than supplementary. Third, the opportunity logic operates primarily in scarce-asset, resource-intensive, and infrastructure sectors where asset irreplaceability sustains high valuations regardless of political risk — explaining both the weak H1 volume result and the counterintuitive H3 premium result.

5. Conclusion

This paper investigated how political risk in Latin American target countries influences M&A deal volume (H1), deal abandonment (H2), and acquisition premiums (H3) over the period 2000 to 2024, using three complementary political risk indicators: FSI, POLCONIII, and WGI-PV. By employing an integrated mixed-methods design that combines bivariate correlation analysis with qualitative evidence from corporate disclosures, practitioner podcasts, and academic case studies, this study tested three empirically grounded hypotheses. Taken together, the findings support a view of political risk as a structuring force on M&A behavior rather than a simple deterrent. Our synthesis confirms that political risk in Latin America functions as a **structuring filter** rather than a simple deterrent. While it does not always block deal entry (H1), it fundamentally dictates the **terms of survival** (H2). The findings suggest that professional dealmakers do not necessarily pay less for risky targets (H3), but they build more complex legal “moats” around their investments to absorb the institutional shocks identified by the FSI and POLCON indicators.

H1 receives partial but meaningful support, as the WGI-PV indicator produces a statistically significant moderate-to-strong positive correlation between political stability and deal volume ($r = 0.545$, $p = 0.007$, $n = 23$). OLS regression confirms that each unit of stability is associated with approximately 2,599 additional deals per year ($\beta = 2599.2$, $SE = 872.1$, $p = 0.007$, $R^2 = 0.297$), explaining roughly 30% of year-to-year variation at the regional level. While the FSI and POLCONIII results are directionally consistent with H1, they are statistically non-significant.

H2 receives strong support from structural indicators, with the FSI correlation being large and highly significant ($r = 0.867$, $p < 0.001$) and GLM regression confirming a positive association between fragility and abandonment probability ($\beta = 0.372$, $p < 0.001$). The POLCONIII analysis similarly yields a statistically significant negative correlation ($r = -0.512$, $p = 0.009$) and a highly significant regression coefficient ($\beta = -11.21$, $p < 0.001$), confirming that lower political constraints are associated with higher abandonment rates. While the WGI produces a null result, qualitative evidence—including documented episodes of politically driven deal failures in Argentina, Brazil, and Venezuela—confirms that the mechanism exists. These strong H2 results are consistent with Real Options Theory: firms initiate deals and preserve optionality, then exercise the abandonment option when political conditions deteriorate during negotiation. The divergence between structural indicators and perceptual indicators suggests that structural political conditions drive completion failures more directly than governance perceptions.

H3 cannot be evaluated with the available data, as all three specifications yield statistically non-significant results (FSI: $r = 0.277$, $p = 0.360$; POLCONIII: $r = -0.573$, $p = 0.138$; WGI: $R^2 = 0.099$, $p = 0.155$). The evidence

for H3 is counterintuitive in quantitative terms, but we interpret this as a measurement problem rather than a theoretical failure. Headline premiums in Latin American M&A are inflated by scarce-asset transactions in natural resources and infrastructure—sectors where political risk is highest but where strategic irreplaceability sustains high valuations. Furthermore, the structural channel through which political risk is priced into deal architecture (MAC clauses, earn-outs, regulatory contingencies) is not captured by announced deal premiums. H3 is not refuted by our data; it is simply incompletely tested due to under-powered samples and sector composition bias.

Several directions for future research emerge from these findings. First, the divergence between WGI and structural indicators (FSI, POLCONIII) for H2 warrants a systematic investigation into the predictive power of perception-based versus structural measures. Second, deal-level analyses with controls for sector, acquirer origin, and deal structure are required to capture how political risk is absorbed through contractual mechanisms. Third, the moderation hypothesis (H4)—that acquirer experience in emerging markets attenuates the deterrence and abandonment effects documented here—remains the most theoretically compelling untested dimension and represents the most important direction for future work.

For practitioners, these results carry direct implications: structural political fragility and institutional constraint levels are the most reliable predictors of deal completion failure in Latin American M&A. Acquirers should weight FSI and POLCONIII scores heavily in due diligence and invest in contractual protections such as MAC clauses and phased ownership transfer. Ultimately, political risk management is not just a transaction cost to be minimized but a source of competitive advantage. Firms that develop the capabilities to navigate structural fragility—legal structuring, political intelligence, and regional experience—gain access to deal pipelines that more risk-averse competitors abandon, potentially achieving superior risk-adjusted returns in a less crowded competitive field.

6. Annexes/Appendixes

Appendix 1: Qualitative Coding Framework

The following ten-question coding framework was applied systematically across all qualitative sources.

#	Coding Question
Q1	How does this source define or operationalise political instability in M&A contexts?
Q2	Does the source describe formal political risk assessment protocols used in deal screening?
Q3	How does political risk affect deal structure (MAC clauses, earn-outs, phased transfers)?
Q4	Does the source document deal timing adjustments in response to political events?
Q5	Is political instability described as a deterrent, a negotiation tool, or an opportunity?
Q6	Does the source describe country-of-origin effects on risk tolerance?
Q7	How is political risk priced into deal valuations (headline price vs. structural mechanisms)?
Q8	Does the source document deal abandonment or failure attributable to political factors?
Q9	How does prior emerging market experience affect risk interpretation and deal behaviour?
Q10	What risk mitigation strategies (insurance, partnerships, legal structuring) are described?

Appendix 2: Summary of Quantitative Results

H	Indicator	Outcome	r / β	p-value	Verdict
H1	WGI-PV	Deal Volume (# deals)	$r = 0.545$; $\beta = 2599$	$p = 0.007$ (n=23)	Partial support
H1	FSI	Deal Volume (# deals)	$r = -0.168$; $\beta = -43.85$	$p = 0.491$ (n=19)	Not significant
H1	POLCONIII	Deal Volume (# deals)	$r = 0.251$; $\beta = 3468$	$p = 0.145$ (n=35)	Not significant

H2	FSI	Abandonment Rate	$r = 0.867; \beta = 0.372$	$p < 0.001$	Supported
H2	POLCONIII	Abandonment Rate	$r = -0.512; \beta = -11.21$	$p = 0.009 / p < 0.001$	Supported
H2	WGI	Abandonment Rate	$r = 0.002$	$p = 0.992$	Not supported
H3	FSI	Premium 4-wk (%)	$r = 0.277$	$p = 0.360$ (n=13)	Not supported*
H3	POLCONIII	Premium 4-wk (%)	$r = -0.573$	$p = 0.138$ (n=8)	Not supported*
H3	WGI	Premium 4-wk (%)	$R^2 = 0.099$	$p = 0.155$ (n=22)	Not supported*

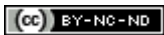
* H3 not supported due to critically small sample sizes and data distortion; results should not be used for substantive conclusions. See Section 4.3.2.

n.s. = not significant; n.r. = not reported in R output.

Appendix 3: Data Sources

Dataset	Variable	Coverage
Fragile States Index (Fund for Peace)	FSI Fragility Score	Latin America, 2006–2024
POLCON Dataset (Henisz, 2025)	POLCONIII Constraints Score	Latin America, 2000–2024
World Bank WGI	Political Stability & Absence of Violence	Latin America & Caribbean, 2000–2024
LEDG Workplace / Thomson Financial	M&A Volume, Abandonment, Premiums	Latin America, 2000–2024
IMAA Institute	Regional M&A Deal Counts	Latin America, 2000–2024

World Bank Open Data	GDP Growth, Inflation (contextual)	Latin America, 2000–2024
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